

FTFS Peru Platform

One Standard. Multiple Growers. Consistent Arrivals.

A governance model for FTFS Peru to manage fruit from different growers, fields and packhouses under one technical standard, with clear release criteria, traceability, early warning signals, timely escalation, arrival feedback and continuous improvement. The model is designed for Peru and can be scaled to other origins, adapted to each origin's operational reality.

01 Technical Standard	03 Quality Layers
08+ Critical Control Points	360° Field-to-Arrival Traceability

FTFS Quality Governance Flow

From FTF market expectations to operational execution, early warnings, commercial compliance, arrival feedback and system improvement.

1 FTF Market & Customer Expectations Programs, customer requirements, commercial promise and risk tolerance.
2 FTFS Technical Standard Measurable standard by product, variety, grower, format, market and customer.
3 Grower & Packhouse Execution Protocols, audits, controls, training, traceability and compliance.
4 Commercial Compliance at Origin Packaging, label, pack configuration, customer code, traceability and weight integrity.
5 Lot Release & Allocation Release, restrict, block or alert early based on condition, compliance, weight, logistics risk and customer fit.
6 Cold Chain & Logistics Cooling discipline, pulp temperature, container performance, transit risk and timely alerts to destination.
7 Arrival Confirmation Destination confirms condition, packaging, labeling, weight and customer acceptance.

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RCA & Improvement

Claims, root-cause analysis, corrective actions, scorecards and protocol updates.

Mandate of FTFS Quality Governance

Quality governance must convert expectations into standards, standards into controls, and controls into reliable arrivals.

FTFS Quality Governance converts FTF market expectations and customer requirements into measurable technical standards, and governs their execution across growers, fields, packhouses and logistics within the Peru platform.

Its purpose is to protect program value, reduce variability, ensure reliable arrivals, anticipate risks and enable better commercial allocation decisions.

- Protect the FTF / MBO program promise.
- Reduce quality variability across growers, fields and packhouses.
- Benchmark growers, packhouses, varieties and production units.
- Control product release and commercial restrictions.
- Provide early warnings to maximize flexibility for destination strategy adjustments.
- Close the loop through root-cause analysis and corrective actions.

Three Layers of FTFS Quality Governance

This separates fruit quality from process discipline and governance capability.

Layer 1**Product Quality**

The physical, commercial and arrival condition of the fruit delivered to the customer.

- Size / caliber
- Color and appearance
- Firmness
- Flavor
- Bloom / external condition
- Defects and decay
- Shelf life and arrival condition
- Compliance with FTF customer specifications

Layer 2**Process Quality**

The operational discipline required to ensure that fruit maintains condition and commercial compliance from field to destination.

- Harvest timing
- Field handling
- Time from harvest to cooling
- Pulp temperature management
- Packing and selection accuracy
- Lot segregation
- Packaging and pack configuration compliance
- Labeling and traceability compliance
- Net weight and overweight control
- Cold chain integrity
- Transit condition
- Early warning and timely escalation discipline

Layer 3**Quality Governance System**

The governance system that allows FTFS to control, compare, correct and continuously improve quality performance across growers, fields and packhouses.

- Common technical standards
- Grower and packhouse audits
- Traceability
- Quality data platform
- Grower scorecards
- Claims management
- Root-cause analysis
- Corrective action plans
- Training and calibration
- Continuous improvement

Organization Model

FTFS sets and governs the quality standard. Field, packing and logistics teams execute the controls. Growers and packhouses remain accountable for compliance.

Level 1**FTFS Quality Governance**

- Owns FTFS quality standards
- Defines release criteria
- Approves protocols and specifications
- Sets grower and packhouse scorecards
- Leads critical claims and RCA
- Reports quality performance to management

Level 2**Operational Quality Execution**

- Implements FTFS standards in the field and packhouse
- Audits growers, fields and packhouses
- Controls harvest, packing and pre-shipment checks
- Monitors cold chain and logistics conditions
- Reports deviations, quality alerts and destination-relevant risks on time
- Executes corrective action follow-up

Level 3**Grower / Packhouse Compliance**

- Owns internal quality control
- Complies with FTFS technical standards
- Maintains lot identity and traceability
- Applies harvest and handling protocols
- Provides required quality data
- Executes corrective action plans

Key point

Operating principle: FTFS does not replace grower responsibility. It governs the system, defines the standard, verifies compliance and protects the program.

Quality Allocation Matrix

Fruit should not be allocated only by availability or volume. Allocation must reflect product condition, grower reliability, packhouse performance, logistics risk, commercial compliance, market requirements and customer tolerance.

Dimension	What it defines	Quality implication
Product	Base technical and commercial specification	Defines minimum quality standard and customer promise.
Variety	Postharvest behavior and shelf-life potential	Determines transit tolerance and market suitability.
Grower	Reliability, consistency and historical performance	Defines supervision intensity and release confidence.
Field / Block	Agronomic condition, maturity and risk profile	Allows lot-level decisions and traceability.
Packhouse	Process capability and selection accuracy	Determines confidence in grading, segregation and defect control.
Lot Condition	Actual condition at harvest, packing and pre-shipment	Defines whether fruit is released, restricted or blocked.
Commercial Compliance at Origin	Correct packaging, pack configuration, labeling, customer codes, traceability, net weight and overweight target	Prevents customer rejection, relabeling costs, underweight claims, commercial disruptions and loss of program credibility.
Logistics	Cooling performance, transit time and cold chain risk	Defines destination risk and shelf-life protection.
Early Warning / Escalation	Timely communication of quality, compliance, logistics or arrival risk before the issue reaches destination	Maximizes flexibility to adjust destination strategy, customer allocation, inspection planning, repacking, relabeling or commercial handling.
Market	Transit distance, regulatory requirements and expected handling	Defines minimum condition needed for safe arrival.
Customer	Program specification, tolerance and claim sensitivity	Defines final allocation and restriction level.
Format	Pack style, unit size, carton configuration and presentation requirement	Defines customer compatibility, handling exposure, weight behavior and commercial compliance risk.

Key point

Key principle: Not every acceptable lot is suitable for every customer or market. FTFS Quality Governance must define the safest and most value-accretive destination for each lot.

Lot Release & Commercial Allocation

Technical release must define whether each lot is fit to ship, under what restrictions, and for which market or customer it is commercially and technically suitable.

Released

The lot meets fruit condition, commercial compliance and weight integrity requirements, and is suitable for the intended market and customer program.

- Fruit condition within standard
- Packaging, label and format compliant
- Net weight and overweight tolerance compliant
- Suitable for target market and customer
- Normal monitoring

Restricted

The lot is commercially usable, but requires restrictions due to fruit condition, process deviation, logistics risk or commercial compliance sensitivity.

- Restricted market or customer
- Shorter transit preferred
- Enhanced destination monitoring
- Specific commercial approval required
- Corrective action or rework if needed

Blocked / Reclassified

The lot does not meet minimum fruit condition, commercial compliance or weight integrity requirements and cannot be shipped as originally intended.

- Hold shipment
- Rework, relabel or repack if possible
- Downgrade or divert
- Reject if minimum standard is not met
- Root-cause analysis required

Key point

Release decision = fruit condition + commercial compliance + weight integrity + logistics risk + customer fit.
Commercial pressure cannot override release criteria. Early warnings must be issued while there is still time to adjust destination strategy.

FTFS Quality Governance KPIs

FTFS should measure quality performance across the full chain: field, harvest, packing, commercial compliance, cold chain, arrival, claims and corrective actions.

Field / Pre-Harvest

- Harvest readiness
- Size distribution
- Firmness
- Color / maturity
- Defect incidence
- Field risk alerts
- Block-level condition

Harvest & Handling

- Harvest timing compliance
- Field handling compliance
- Harvest-to-cooling time
- Field temperature exposure
- Lot identity preservation
- Harvest damage incidence

Packhouse Quality

- Exportable %
- Packout %
- Defects by type
- Selection accuracy
- Rejected fruit %
- Rework %
- Blocked lots
- Lot segregation compliance

Commercial Compliance at Origin

- Packaging accuracy %
- Pack configuration compliance %
- Labeling accuracy %
- Traceability accuracy %
- Customer code accuracy %
- Net weight compliance %
- Underweight incidence %
- Average overweight %
- Overweight range compliance %
- Giveaway cost from overweight
- Customer specification compliance %

Cold Chain / Logistics

- Pulp temperature at packing
- Time to target temperature
- Pre-cooling compliance
- Container temperature compliance
- Cold chain deviations
- Transit days
- Arrival temperature

Arrival / Customer Performance

- Arrival score
- Firmness at destination
- Decay %
- Dehydration %
- Shivel %
- Weight compliance at destination
- Label / packaging compliance at destination
- Customer acceptance
- Claims per kg
- Claims cost

Governance & Corrective Actions

- Grower score
- Packhouse score
- Corrective action closure %
- Repeat deviation rate
- Audit compliance %
- Early warning lead time
- Destination risk alerts issued on time %
- Claims root-cause closure %
- Critical deviation response time
- Training completion %

Key point

Weight rule: Underweight can trigger rejection. Overweight must be managed as a controlled tolerance, generally between 2.5% and 5.0% above declared net weight, depending on fruit, format, condition, transit and timing.

Grower Governance

Grower trust should be earned through consistent performance, not assumed by volume or relationship.

Category	Profile	Governance consequence
A	High consistency, low claims, strong internal QC, reliable traceability and strong packhouse discipline.	Standard monitoring, priority access to demanding programs and greater operating autonomy.
B	Generally compliant, with manageable variability or occasional deviations.	Normal supervision, periodic audits and targeted improvement actions.
C	Recurrent deviations, weak process discipline, inconsistent arrivals or incomplete corrective action closure.	Intensive audits, restricted market access and mandatory corrective action plan.
D	Critical non-compliance, repeated failures, traceability gaps, underweight risk, labeling failures or unresolved claims.	Suspension, blocked shipments, re-approval process or exit from program.

Key point

Classification criteria: arrival performance, claims per kg, packhouse compliance, commercial compliance at origin, traceability accuracy, cold chain discipline, corrective action closure, repeat deviation rate, audit results and customer suitability. Control intensity must reflect performance, risk and reliability.

Claims Management & Root Cause Analysis

A claim closed only with a credit note is a lost learning opportunity. Every claim must lead to root-cause analysis, accountability and corrective action.

RCA Flow

- Claim received
- Lot identified
- Evidence collected
- Origin records reviewed
- Destination confirmation reviewed
- Root cause classified
- Responsibility assigned
- Corrective action defined
- Follow-up completed
- Standard / protocol updated if needed

Root Cause Buckets

Field / Pre-harvest | Harvest & Handling | Packing & Selection | Commercial Compliance | Weight Management | Cooling / Cold Chain | Logistics / Transit | Market Allocation | Destination Handling | Customer-Specific Issue

- Claims must be treated as system feedback, not isolated commercial incidents.
- The purpose of RCA is not only to assign blame. It is to prevent recurrence.

Quality as a Commercial Value Enabler

Quality does not replace Commercial. It defines the technical boundaries and risk profile that allow Commercial to maximize value safely.

Quality Provides

- Lot release status
- Market and customer restrictions
- Fruit condition risk profile
- Commercial compliance status
- Weight integrity status
- Grower reliability
- Packhouse performance
- Arrival feedback
- Shelf-life intelligence
- Early warnings and destination risk alerts
- Claims and RCA insights

Commercial Decides

- Customer allocation within release criteria
- Program commitments
- Pricing strategy
- Market destination
- Volume planning
- Customer relationship
- Final commercial execution
- Destination strategy adjustment when timely alerts are received
- Value maximization within technical boundaries

Key point

Key principle: Quality defines the risk. Commercial decides the value strategy within that risk. The best commercial decision is not always the highest price destination; it is the destination that maximizes expected value after quality and logistics risk. Timely alerts increase the available options before fruit arrives.

Feedback to Variety & Program Strategy

The best varieties are not only productive. They must travel well, comply commercially, arrive well and sell well.

Postharvest Performance

Firmness, decay, dehydration, bloom retention, weight loss and shelf-life behavior by variety, grower and packhouse.

Market & Customer Fit

Identifies which varieties, growers and lot profiles perform best by market, customer, transit time and program requirement.

Grower / Field Fit

Shows how each variety performs under different growers, fields, agronomic conditions and operational capabilities within Peru.

Program Development Logic

Supports decisions on variety expansion, renewal, grower prioritization, technical support, market restrictions and long-term program strategy.

Key point

Strategic use: FTFS quality data should become strategic intelligence for the FTF program, not only operational reporting. If a variety produces well but does not travel, arrive or comply well, its commercial value is structurally limited.

Governance Rhythm

Quality governance requires a defined management rhythm, clear escalation rules and explicit decision rights.

Weekly during active harvest / packing / shipping season

Weekly Operational Quality Review

Focus: fruit to be harvested, packed, released, shipped or restricted.

- Fruit to be harvested
- Fruit packed / released
- Fruit in transit
- Quality alerts and destination-relevant early warnings
- Commercial and weight compliance issues
- Restricted or blocked lots
- Corrective actions in progress

Monthly in season / quarterly off season

FTFS Quality Governance Committee

Focus: grower, packhouse, arrival, claims, compliance and corrective action performance.

- Performance by grower and packhouse
- Arrival results
- Claims and RCA status
- Commercial compliance trends
- Weight management trends
- Grower classification updates
- Protocol adjustments

End of season / pre-season planning cycle

Seasonal / Post-Season Quality Review

Focus: season learnings, claims, arrivals, commercial compliance, weight management, variety performance and next-season improvement plan.

- Season quality performance
- Claims and cost of claims
- Grower scorecard results
- Protocol effectiveness
- Training plan
- Program priorities

Key point

Governance converts data into decisions, decisions into action, and action into improved performance.

Required Authority

Without authority, FTFS Quality Governance becomes advisory. With authority, data and escalation rights, it becomes a value-protection system for the program.

Approve

Approve FTFS quality standards, specifications, release criteria, inspection protocols and commercial compliance requirements.

Verify

Verify compliance across growers, fields, packhouses, commercial specifications, cold chain and pre-shipment release.

Restrict

Restrict lots, growers, packhouses, markets or customers when the risk profile does not support the intended allocation.

Block

Block lots that do not meet minimum fruit condition, commercial compliance or weight integrity requirements.

Escalate

Escalate critical deviations, repeated failures, customer-sensitive issues, destination-relevant risks or unresolved corrective actions to FTFS management and Commercial while adjustment options still exist.

Correct

Require corrective action plans, verify closure and update protocols when repeated deviations show a system weakness.

Key point

FTFS Quality Governance must have enough authority to protect the program before risk reaches the customer. Authority must be tied to data, traceability and clearly defined release criteria.

Executive Summary

The closing thesis of the FTFS Quality Governance Model.

FTFS Quality Governance is the system that allows the Peru platform to convert a diverse network of growers, fields and packhouses into one consistent, reliable and commercially disciplined supply program.

The purpose of FTFS Quality Governance is not only to avoid claims. It is to protect program value, anticipate risk, ensure reliable arrivals and enable better commercial decisions through discipline, data, timely alerts and accountability.

One technical standard

Common criteria for growers, fields, packhouses, lots, formats and customers.

Clear accountability

FTFS governs the system while growers and packhouses remain responsible for compliance.

Disciplined release

Release decisions based on fruit condition, commercial compliance and weight integrity.

Full traceability

Field-to-arrival visibility for performance, claims and corrective action.

Continuous improvement

Claims, RCA, scorecards, early warnings and governance rhythm drive system learning.